

E-commerce Sales Analysis

Executive Summary

This analysis provides a comprehensive overview of the company's sales performance, customer contribution, product performance, monthly revenue trends, and payment behavior. During the reporting period, the business generated **\$1264761.96** in revenue from approximately **1,000 orders**, selling over **4,000 products** with an **Average Order Value (AOV) of \$1053.97**. While revenue performance is strong, there are opportunities to improve customer retention, stabilize monthly sales, and optimize payment and marketing strategies to drive sustainable growth.

Key Performance Indicators (KPIs)

KPI	Value	Business Insight
Total Revenue	\$1.26M	Strong revenue generation indicates healthy market demand.
Total Quantity Sold	4K Items	Customers purchase multiple products per transaction, presenting cross-selling opportunities.
Total Orders	1K Orders	Indicates consistent customer activity throughout the reporting period.
Average Order Value	\$1.05K	Customers spend significantly per transaction, suggesting a focus on higher-value products.

Business Insight

The business is generating substantial revenue from a relatively moderate number of orders, indicating that customers purchase premium products or multiple items per transaction.

Recommendation

- Continue promoting premium and high-margin products.
- Introduce product bundles to further increase average order value.
- Offer personalized recommendations during checkout.

Top Customers by Revenue

The **Top 10 Customer by Revenue** chart shows that customer spending is concentrated among a relatively small group of customers.

- Highest customer revenue: **\$5.7K**
- Remaining top customers contribute between **\$3.3K-\$3.5K**.

Business Insight

The highest-spending customer contributes significantly more revenue than the others, highlighting the importance of retaining high-value customers.

Recommendation

Develop a customer loyalty strategy by introducing:

- VIP membership programs
- Reward points
- Exclusive discounts
- Early access to new products
- Personalized email campaigns

Retaining loyal customers is generally more cost-effective than acquiring new ones.

Product Performance

Top 5 Products by Revenue

Product Revenue

Chair **196K**

Printer **196K**

Laptop **192K**

Tablet **187K**

Product Revenue

Monitor **176K**

Business Insight

The business performs exceptionally well in office equipment and technology products. Chairs and printers generate the highest revenue, while monitors generate comparatively lower revenue among the top five products.

Recommendation

Bundle complementary products to increase sales, such as:

- Laptop + Printer
- Monitor + Keyboard + Mouse
- Chair + Desk
- Complete Home Office Package

Also maintain adequate inventory levels for the highest-performing products to avoid stock shortages.

Monthly Revenue Trend

Revenue Pattern

The trend indicates considerable fluctuations throughout the year.

Observations include:

- Strong sales during January–June.
- Revenue peaks in **June (approximately \$135K)**.
- Sharp decline beginning in **July**.
- Lowest performance occurs around **September**.
- Gradual recovery during October–December.

Business Insight

Revenue is not consistent throughout the year, suggesting possible seasonality, promotional effects, or changing customer demand.

Recommendation

To stabilize revenue:

- Launch targeted promotions during slower months.
 - Introduce seasonal marketing campaigns.
 - Offer flash sales and discount codes.
 - Retarget previous customers through email marketing.
 - Investigate external factors contributing to the mid-year decline.
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Payment Method and Order Status Analysis

The dashboard compares payment methods against different order statuses.

Observations

Across payment methods:

- Online payment records relatively high completed transactions.
- Gift Card transactions have a comparatively high number of shipped orders.
- Cash transactions show a noticeable number of pending and cancelled orders.
- Debit Card transactions exhibit a balanced distribution across statuses.

Business Insight

Different payment methods demonstrate varying order completion behaviors. High cancellation or pending rates may indicate payment friction, operational delays, or customer preference issues.

Recommendation

- Analyze cancellation rates by payment method.
 - Investigate failed payment transactions.
 - Improve payment gateway reliability.
 - Encourage customers to use payment methods associated with higher order completion through incentives such as discounts or reward points.
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Referral Source Analysis

Instagram and Email referral source generated the highest revenue follow by Google, Facebook, and Referral source respectively.

Recommendation

- Increase marketing investment in channels delivering the highest revenue while reducing spend on lower-performing channels.

Coupon Code Analysis

The coupon slicer shows that freeship generated the highest 335.04k revenue and 313 orders while No-coupon generated 322.40k revenue and 309 orders, Save10 generated 304.84k revenue and 286 order which has a lower order to Winter 15 that generated 292 orders and 302.48k revenue.

Recommendation

Continue offering coupons that increase revenue without significantly reducing profit margins.

Strategic Recommendations for Business Growth

Business Area	Recommendation	Expected Outcome
Customer Retention	Launch loyalty and VIP programs	Increase repeat purchases and customer lifetime value
Product Strategy	Bundle complementary products	Increase average order value
Sales	Upsell premium products during checkout	Higher revenue per transaction
Marketing	Focus on high-performing referral channels	Improved return on marketing investment
Promotions	Schedule campaigns during low-sales months	More consistent monthly revenue

Business Area	Recommendation	Expected Outcome
Operations	Improve payment processing efficiency	Lower cancellation rates and higher completed orders
Inventory	Prioritize stock for best-selling products	Prevent stockouts and lost sales
Customer Analytics	Segment customers by spending behavior	More effective targeted marketing

Conclusion

The dashboard indicates that the business is performing well, generating **\$1.26M** in revenue with a strong **Average Order Value of \$1.05K**, driven primarily by high-performing office equipment products such as **Chair**, **Printer**, and **Laptop**. However, the sharp decline in revenue after June suggests an opportunity to improve sales consistency through targeted promotions and customer retention initiatives. By strengthening loyalty programs, optimizing marketing spend, bundling complementary products, and enhancing payment efficiency, the business can increase customer lifetime value, stabilize monthly revenue, and support long-term sustainable growth.